DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2023–24
PRE BOARD EXAMINATION

CLASS : X | **FULL MARKS : 100**
SUBJECT:ECONOMIC APPLICATIONS (SET-A) | **TIME : 2 HOURS.**

Answers to this paper must be written on the paper provided separately.
You will not be allowed to write during the first 15 minutes.
This time is to be spent in reading the question paper.
The time given at the head of this paper is the time allowed for writing the answers.

Attempt all questions from Section A and any four questions from Section B. The intended marks for questions or parts of questions are given in bracket [ ].
This paper consists of six printed pages

SECTION A

(Attempt all questions from this section)

Question 1 **[20]**

Choose the correct answer to the questions from the given options.
(Do not copy the question, write the correct answers only.)

(i) **Assertion (A): Market is nothing but a shopping complex.**
Reason (R): A market comprises of all the systems and arrangements that bring buyers and sellers in contact with each other to settle the sale and purchase of goods.
(a) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
(b) Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
(c) Assertion (A) is true but Reason (R) is false.
(d) Assertion (A) is false but Reason (R) is true.

(ii) **Downward slope of the demand curve shows:**
(a) Positive relationship between price and quantity demanded
(b) Inverse relationship between price and quantity demanded
(c) No relationship between price and quantity demanded
(d) Inverse relationship between income and quantity demanded

(iii) **Demand curve is upward sloping for:**
(a) Normal goods
(b) Inferior goods
(c) Giffen goods
(d) Inexpensive goods

(iv) **The formula of measuring price elasticity of demand is:**

(a) $e_p = (-)\frac{\Delta q}{\Delta p} \times \frac{q}{p}$

(b) $e_p = (-)\frac{\Delta p}{\Delta q} \times \frac{p}{q}$

(c) $e_p = (-)\frac{\Delta q}{\Delta p} \times \frac{p}{q}$

(d) $e_p = (-)\frac{\Delta p}{p} + \frac{\Delta q}{q}$

(v) **Which of the following is not the instrument of credit control?**

(a) CRR
(b) SLR
(c) Bank rate
(d) Taxation

(vi) **The schedule showing various quantities offered for sale by all the firms at different possible prices in the market of the commodity is called:**

(a) Quantity supplied
(b) Market supply
(c) Individual supply
(d) Change in supply

(vii) **According to law of supply:**

(a) There is positive relation between price and supply
(b) There is negative relation between supply and price
(c) There is constant relation between supply and price
(d) There is no relation between supply and price

(viii) **When supply curve is parallel to X-axis, elasticity of supply is:**

(a) Zero
(b) Infinity
(c) Unity
(d) Negative

(ix) **In case of $E_s<1$, the supply curve is :**

(a) A horizontal straight line parallel to X-axis
(b) A vertical straight line parallel to Y-axis
(c) A straight line starting from Y-axis
(d) A straight line starting from X-axis

(x) **In case of perfect competition:**

(a) A firm is able to charge higher price
(b) A firm is able to charge uniform price
(c) A firm is able to sell any amount at the prevailing price
(d) Both (b) and (c)

(xi) In the context of perfect competition, which one of the following statements is not correct?

(a) Firm has full control over price
(b) Horizontal straight line demand curve of the firm
(c) Freedom of entry and exit
(d) Selling costs do not exist

(xii) Which of these are fiscal policy instruments ?

(a) Taxation
(b) Public expenditure
(c) Money supply
(d) Both (a) and (b)

(xiii) Which of the following is not a direct tax ?

(a) Corporate tax
(b) GST
(c) Income tax
(d) Wealth tax

(xiv) A garbage truck driver is an example of which factor of production?

(a) Labour
(b) Land
(c) Entrepreneurship
(d) Capital

(xv) Land, labour, capital, and entrepreneurship are:

(a) Natural resources
(b) Man-made resources
(c) Factors of production
(d) Factor payments

(xvi) Iron, minerals, coal and plants are examples of which productive resource?

(a) Land
(b) Labour
(c) Entrepreneurship
(d) Capital

(xvii) Identify the market form as indicated in the picture:

(a) Perfect competition
(b) Monopolistic competition
(c) Monopoly
(d) Monopsony

(xviii) Identify the correct sequence of alternatives given in Column II by matching them with respective items in Column I:

Column I	Column II
A. Law of supply	(i) A situation of contraction of supply
B. Downward movement along the supply curve	(ii) $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
C. Elasticity of supply	(iii) A straight line, positively sloped supply curve starts from Y-axis
D. $E_s > 1$	(iv) Positive relationship between own price of the commodity and its quantity supplied.

(a) A – (iv), B – (i), C – (ii), D – (iii)
(b) A – (iii), B – (iv), C – (i), D – (ii)
(c) A – (ii), B – (iv), C – (i), D – (iii)
(d) A – (iv), B – (ii), C – (i), D – (iii)

(xix) Charging different prices from different buyers for the same good is called
(a) Price extension
(b) Price contraction
(c) Price discrimination
(d) Price control

(xx) Profits of Entrepreneur are always ______________.
(a) Positive
(b) Negative
(c) Zero
(d) Residual in nature

QUESTION 2

(i) Differentiate between contraction and decrease in demand. [2]

(ii) The quantity demanded of a commodity at a price of ₹4 per unit is 25 units. Suppose price of the good increases to ₹5, and as a result, the quantity demanded for the good falls to 20 units. Calculate its price elasticity of demand. [2]

(iii) Study the set of pictures given below and answer the questions that follows. Give reasons to support your answer. [2]

NETFLIX

Picture A.

prime video

Picture B.

Picture C.

(a) What kind of goods do Picture A and B denote?
(b) What is the relationship between Picture A and Picture C?

(iv) **Define composite demand with the help of an example.** **[2]**

(v) **In the recently concluded meeting of the Monetary Policy committee, chaired by Reserve Bank of India, Governor Shaktikanta Das, the panel unanimously decided to keep the repo rate unchanged at 6.5 percent for the fourth time in a row, also leaving its policy unchanged with focus on withdrawal of accommodation.** **[2]**
[Source: ET online, Oct.06, 2023]
(a) Define repo rate.
(b) What do you mean by monetary policy?

QUESTION 3

(i) **Distinguish between proportional and progressive tax system with numerical examples.** **[2]**

(ii) **Explain the following functions of money:** **[2]**
(a) Medium of exchange
(b) Store of value

(iii) **Define Monopsony with the help of an example.** **[2]**

(iv) **Discuss any two reasons behind the low level of the efficiency of labour in India.** **[2]**

(v) **Distinguish between horizontal and vertical divisions of labour with examples.** **[2]**

SECTION B

(Answer any four questions from this section)

QUESTION 4

(i) **Define elasticity of demand. Explain any four degrees of elasticity of demand with diagrams.** **[7]**

(ii) **Discuss the following four exceptions to the law of demand.** **[8]**
(a) Conspicuous consumption
(b) Snob effect
(c) Veblen effect
(d) Speculative activities

QUESTION 5

(i) **What is 'elasticity of supply'? Discuss the following factors determining the elasticity of supply of a commodity.** **[7]**
(a) Possibility of shift from one line of production to the other.
(b) Time horizon
(c) Supply of inputs
(d) Cost of production

(ii) **What are the main features of Monopoly?** **[8]**

QUESTION 6

(i) **What is inflation? Explain the effect of inflation on the following:** **[7]**
(a) **Fixed income group in the economy**
(b) **Debtors and creditors**
(c) **Producers**

(ii) **Discuss any four problems faced by the public sector of India.** **[8]**

QUESTION 7

(i) **Define ecosystem. Explain any two impacts of each of the following on ecosystem:** **[7]**
(a) **Industrialization**
(b) **Automobiles**
(c) **Dwelling houses**

(ii) **What is meant by 'division of labour'? Explain any three advantages of 'division of labour'.** **[8]**

QUESTION 8

(i) **Who is an entrepreneur? Discuss the following functions of an entrepreneur.** **[7]**
(a) **Decision-making**
(b) **Coordinating and overall supervision**
(c) **Budgeting**

(ii) **Discuss any four reasons behind the low level of capital formation in India.** **[8]**

QUESTION 9

(i) **Define sunk capital. Explain any four important characteristics of capital.** **[7]**

(ii) **Read the passage given below and answer the questions that follow.** **[8]**

Rush for deposit mobilization gained momentum ahead of the festive season with banks competing fiercely with each other anticipating higher demand for loans.

Bank of Maharashtra has increased its deposit rates by as much as 125 basis points in select maturities to outwit its rivals.

Bank of Baroda earlier in the week announced a rise in interest rates on domestic retail term deposits by up to 50 bps across various tenors up to three years. UCO Bank last week launched a special fixed deposit scheme for 400 days offering 7.05% to the depositors below 60 years.

"The sharp rise in deposit rates will encourage individuals and business to save more", Bank of Maharashtra said.

[Source: Economic Times Bureau, Oct 11, 2023]

(a) **What types of Banks are these?**
(b) **Explain any three functions of such Banks.**
(c) **Differentiate between fixed deposit & saving deposit.**